LEAD AML
AML. DONE RIGHT.

STRATEGIC COMPLIANCE GUIDE

The Ultimate Tranche 2 Playbook

A comprehensive, practical guide to navigating Australia's new AML/CTF obligations for professional services.

Prepared by Lead AML | www.leadaml.com.au

Executive Summary

The landscape of financial compliance in Australia is shifting permanently. Commencing **1 July 2026**, the long-anticipated Tranche 2 reforms will extend Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) obligations beyond traditional financial institutions.

The reform captures a broader range of professional and commercial sectors, closing long-standing vulnerabilities in Australia's financial system identified by the Financial Action Task Force (FATF).

Why Tranche 2 Matters

Gatekeeper professions—such as real estate, law, accounting, and conveyancing—are frequently targeted by organized crime to conceal beneficial ownership, move illicit funds, and create opaque corporate structures. Tranche 2 aims to protect your business and the wider community from facilitating these crimes.

The Cost of Non-Compliance

Failing to prepare for and adhere to the AML/CTF Act carries severe consequences:

- **Civil Penalties:** Fines can reach into the millions of dollars for systemic failures to register, report, or conduct due diligence.
- **Criminal Penalties:** Serious non-compliance or involvement in tipping-off can lead to criminal charges and imprisonment.
- **Reputational Damage:** Enforcement actions are public, leading to an immediate loss of client trust and business opportunities.

SCOPE OF REGULATION

Who is Captured by Tranche 2?

If your business provides specific "designated services" within the following six sectors, the new AML/CTF obligations apply to you.

Real Estate

Brokering the sale, purchase, or transfer of real estate. Includes agents, buyer's agents, and developers.

Accountants

Assisting in buying/selling businesses, equity/debt financing, or holding client funds to facilitate transactions.

Lawyers

Providing legal services that involve structuring companies, property transfers, or managing client money/assets.

Conveyancers

Executing the legal transfer of real estate titles from one person or entity to another.

Precious Metals & Stones

Dealers (Jewellers, Bullion) accepting $10,000 or more in physical currency or virtual assets.

Trust & Company Services

Creating entities, providing registered office addresses, or acting as nominee directors/shareholders.

THE FRAMEWORK

The 6 Pillars of Compliance

AUSTRAC mandates six core obligations that form the backbone of a compliant business.

1. AUSTRAC Enrolment

Mandatory enrolment through AUSTRAC Online within 28 days of providing a designated service (Enrolments open 31 March 2026).

2. ML/TF Risk Assessment

Conduct and document a comprehensive assessment of the Money Laundering (ML) and Terrorism Financing (TF) risks specific to your customers, services, delivery channels, and jurisdictions.

3. AML/CTF Program

Develop a documented set of policies, procedures, and controls. You must appoint a dedicated Compliance Officer to oversee the day-to-day implementation.

4. Customer Due Diligence (KYC)

Identify and verify customer identities before providing services. Identify ultimate Beneficial Owners (UBOs) and screen against sanctions and PEP lists.

5. Mandatory Reporting

Report Suspicious Matters (SMRs), physical cash transactions of $10,000+ (TTRs), and Cross-Border Movements of value to AUSTRAC.

6. Record Keeping & Training

Retain due diligence, transaction, and compliance records for exactly 7 years. Implement ongoing AML/CTF risk awareness training for all staff.

Focus Area: Customer Due Diligence (CDD)

At the core of Tranche 2 is the requirement to "Know Your Customer" (KYC). You must accurately establish who you are dealing with before executing designated services.

The 3 Levels of CDD

1. Standard / Initial CDD

Must be completed before providing a service. Involves verifying identity (e.g., passports, driver's licenses) and establishing the nature/purpose of the business relationship.

2. Enhanced CDD (EDD)

Triggered by high-risk factors (e.g., complex trusts, offshore entities, Politically Exposed Persons). Requires gathering source of wealth/funds data and securing senior management approval.

3. Ongoing CDD

Continuously monitoring customer activity to ensure it aligns with their profile. Keeping identification documents current and reviewing profiles on a 1, 2, or 3-year basis based on risk level.

Beneficial Ownership

When dealing with non-individuals (Companies, Trusts, Partnerships), verifying the entity itself is not enough.

You must identify the **Ultimate Beneficial Owners (UBOs)** — the natural persons who ultimately own 25% or more of the entity, or who exercise effective control.

- Obtain Company Extracts or Trust Deeds.
- Trace ownership up the corporate chain.
- Verify the identity of the UBOs.
- Screen UBOs against sanctions and PEP lists.

Important: Relying on third parties to conduct CDD is permissible, but your business remains strictly liable for any compliance failures.

Focus Area: Mandatory Reporting

AUSTRAC relies on the intelligence provided by reporting entities. Meeting strict reporting deadlines is a non-negotiable aspect of your AML/CTF Program.

Suspicious Matter Reports (SMRs)

HIGH PRIORITY

Submitted when you form a suspicion on reasonable grounds that a person or transaction is linked to a crime, money laundering, or terrorism.

TERRORISM FINANCING	MONEY LAUNDERING/OTHER
Within 24 Hours	**Within 3 Business Days**

Threshold Transaction Reports (TTRs)

Submitted when your business receives or transfers physical currency (cash/coins) of **AUD $10,000 or more**, or the foreign currency equivalent.

Due within 10 Business Days

The 'Tipping Off' Offence

It is a strict criminal offence to disclose to a customer—or anyone else—that an SMR has been formed or submitted to AUSTRAC about them. This requires careful handling during offboarding or refusing service.

IMPLEMENTATION

Your Timeline to Compliance

Do not wait until 2026 to begin. Building a robust AML program takes time, technology implementation, and cultural shifts.

1

Phase 1: Understand & Assess

NOW

Determine exactly which of your services are captured as "designated services". Conduct a preliminary gap analysis on your current client onboarding processes.

2

Phase 2: Risk Assessment & Strategy

MID 2025

Draft your formal ML/TF Risk Assessment. Evaluate technology partners (like Lead AML's software) to automate CDD, PEP screening, and record keeping.

3

Phase 3: Build the AML/CTF Program

LATE 2025

Document your customized policies, procedures, and internal controls. Appoint your AML/CTF Compliance Officer.

4

Phase 4: Training & Testing

EARLY 2026

Roll out the program across your agency or firm. Ensure every team member is trained. Trial-run the onboarding software to identify friction points.

Enrolment Opens

31 MARCH 2026

Register your business with AUSTRAC. You must be fully enrolled within 28 days of providing a designated service post-July.

Go-Live: Full Compliance Required

1 JULY 2026

Tranche 2 obligations are legally enforceable. AUSTRAC oversight and reporting obligations begin.

LEAD AML

AML. DONE RIGHT.

Your Tranche 2 Compliance Partner

Lead AML provides practical, implementation-focused services designed specifically for small and medium-sized businesses without deep internal compliance expertise.

Expert Consulting

Custom AML/CTF Programs and Risk Assessments tailored to your specific industry footprint.

Compliance Software

Our cloud-based tool simplifies KYC, sanctions screening, risk scoring, and secure record keeping.

Staff Training

Comprehensive training modules and awareness decks to ensure your team spots red flags.

Don't wait for 2026.

Turn compliance from a regulatory burden into a competitive advantage.

www.leadaml.com.au